TURNALL HOLDINGS LIMITED
versus
KENIAS HORONGA

HIGH COURT OF ZIMBABWE
MANDAZA J
HARARE, 2 June 2026 and 3 June 2026.

Court application for a declaratory order

M. Tshuma for the applicant
C. Mavhondo for the respondent

MANDAZA J:

[1] This is an application for a declaratory order in terms of s14 of the High Court Act [*Chapter 7:06*]. The applicant is Turnall Holdings, a company registered under the laws of Zimbabwe. The respondent is a former employee of the applicant.

The applicant seeks an order in the following terms:

1. The amount of US$260 000.00, which was agreed between the applicant and the respondent as being payable to the respondent as terminal benefits, constitutes taxable income and is subject to Pay As You Earn (PAYE) deductions.
2. The withholding of 40% of the settlement amount as PAYE by the applicant is lawful and must be remitted to ZIMRA in terms of the law.
3. In light of paragraphs 1 and 2 above, it is declared that the terminal benefits paid to the respondent in the sum of US$172 500.00 constitute a full and final settlement in terms of the law.
4. Each party bears its own costs.

The application is opposed by the respondent.

Factual background

[2] The Respondent served in the capacity of Finance Director for the Applicant. His contract of employment was for a fixed term of five (5) years, but was prematurely terminated upon the issuance of three months' notice, in accordance with the provisions of

the Labour Act [*Chapter 28:01*]. Following such termination, a dispute arose between the parties concerning terminal benefits. The matter was subsequently referred to conciliation and thereafter arbitration. A draft ruling was issued and thereafter confirmed by the Labour Court.

[3] The Applicant thereafter filed an Application for Leave to Appeal against the said judgment, which application was dismissed. The Applicant subsequently approached the Supreme Court, whilst the Respondent applied for registration of the Labour Court judgment. The Respondent's application for registration was duly granted under case number HCH2864/24.

[4] The parties ultimately agreed to resolve all outstanding issues and executed a Deed of Settlement under case number SC233/24. A further dispute subsequently arose regarding whether the terminal benefits, which formed the basis of the settlement, were subject to PAYE, and the parties were unable to reach consensus on that issue.

[5] The Applicant has since effected payment to the Respondent in the sum of United States One Hundred and Seventy-Two Thousand Five Hundred Dollars (US$172,500.00). The Applicant maintains that this payment constitutes full and final satisfaction of all amounts due to the Respondent.

[6] The Applicant apprehends that the Respondent may allege non-payment of the settlement sum and may seek to execute the Supreme Court order, thereby occasioning significant prejudice to the Applicant. Accordingly, the Applicant seeks relief from this Honourable Court in the form of a declaratory order, clarifying its rights and obligations in terms of the law.

Party's submissions

[7] The Applicant submitted that it is imperative for this Honourable Court to adopt a definitive position, so as to avoid a scenario in which terminal benefits are paid to the Respondent, only for the Applicant to subsequently be subjected to punitive tax measures in relation thereto.

[8] *Per contra*, the Respondent contends that the dispute has remained unresolved for a period of nine (9) years. He does not dispute the termination of his contract of employment,

but rather challenges the quantum of terminal benefits tendered by the Applicant. That dispute was referred to conciliation, and the ruling was issued in his favour. Several legal processes ensued thereafter. An appeal was lodged in the Supreme Court against the High Court judgment, which had favoured the Respondent. The appeal was dismissed, leaving the High Court judgment under case number HCH2864/24 executable.

[9] On 28 March 2025, the Respondent instructed the Sheriff of the High Court to execute the judgment under HCH2864/24. Negotiations then ensued, during which the Respondent directed the Sheriff to suspend execution pending the outcome of those discussions.

[10] Subsequently, the parties reached agreement and executed a Deed of Settlement under case number SC233/25, wherein it was stipulated that the Applicant shall pay to the Respondent the sum of United States Two Hundred and Sixty Thousand Dollars (US$260,000.00) in full and final settlement of the dispute.

TERMS OF THE DEED OF SETTLEMENT

1. The Applicant shall pay to the first Respondent, in full and final settlement of all amounts owed to him arising out of or in respect of the termination of his employment with the Applicant, the sum of US$260 000. 00 (Two hundred and Sixty Thousand United States Dollars), inclusive of legal fees.
2. Applicant shall pay the amount set out in paragraph 1 above, through an initial payment of US$50 000.00 on or before 30 April 2025, with the balance being paid in 12 equal monthly instalments, commencing on or before 31 May 2025, and thereafter on or before the last day of each successive month, until payment is made in full.
3. All payments in terms of paragraph 2 above shall be made into the first Respondent's legal practitioner's trust account provided below:

   Bank: STANBIC BANK ZIMBABWE LIMITED
   Branch: BELGRAVIA
   Account Name: MHISHI LEGAL PRACTICE (Trust Account)
   Account number: 9140000906548 (FCA)
   Switch Code: SBICZWHXXXX

4. Applicant shall pay Sheriff's fees arising out of the attachment of goods under HC2864/24 in accordance with Paragraph 8 (c) of Statutory Instrument 195 of 2022.
5. Upon signature of this Deed of Settlement, the Applicant shall withdraw the pending Supreme Court Application under SC151/25, with each party bearing its own costs.
6. The terms of this Deed of Settlement may only be varied by a written addendum hereto and no laxity, verbal representations or leniency shall be deemed to be waiver of rights by first Respondent or variation of this settlement or terms thereof.
7. The terms of this Deed of Settlement shall be recorded as a Court Order by Consent under case number SC233/25.
8. In the event of a default in any one of the instalments mentioned in paragraph 2 above, the whole balance outstanding in terms of this Deed of Settlement shall become due and payable and the 2st Respondent shall be entitled to execute in the manner provided for in law.
9. Each party shall bear its own costs in respect of case number SC233/25.
10. This Deed of Settlement sets out the whole agreement between the parties and replaces all prior agreements that may have been entered into between them.

Both parties and their legal representatives signed the Deed of Settlement.

Preliminary points

[11] In his opposing papers, the Respondent raised preliminary points, firstly, of *res judicata*. It was submitted that the tax issue had already been determined by the Supreme Court's order. In the alternative, it was argued that the matter now falls within the ambit of *estoppel,* and that the Applicant cannot persist in re-litigating the same issue.

[12] Secondly, it was contended that the declaratory relief sought constitutes, in substance, a disguised review of the Supreme Court's order. It was emphasized that an order of the Supreme Court cannot be varied or set aside by the High Court, and that this Court accordingly lacks jurisdiction to entertain the matter.

On the basis of these submissions, the Respondent prayed for the dismissal of the application with costs.

Application of the law to the facts

I will deal with the points *in limine* in their order:

1. Is the matter *res judicata*?

The respondent contends that the matter is *res judicata*. The requisites of the plea of *res judicata* have been set out in a number of previous cases. In *Pretorius* v *Barkly East Divisional Council* 1914 AD 407 at 409, Searle J set them out as follows:

> "As to the first point, the requisites for a plea of *res judicata* have several times been laid down in this court. The three requisites of a plea of *res judicata*, said the Chief Justice in *Hiddingh* v *Denyssen and Ors* (1885) 3 Menz 424, quoting Voet (44.2.3), are that the action in respect of which the judgement has been given must have been between the same parties or their privies, concerning the same subject matter and founded upon the same cause of complaint as the action in which the defence is raised….in order to determine the cause of complaint, the pleadings and not the evidence in case must be looked at."

See also *Mitford's Executor* v *Ebden's Executors and Ors* 1917 AD 682 at 686.

The Supreme Court in *Wolfenden v Jackson* 1985 (2) ZLR 313 (S), per GUBBAY JA (as he then was), commented as follows:

> "The exception *rei judicatae* is based principally upon the public interest that there must be an end to litigation and that the authority vested in judicial decisions be given effect to, even if erroneous. It is a form of *estoppe*l and means that where a final and definitive judgement is delivered by a competent court, the parties to that judgement or their privies are not permitted to dispute its correctness."

[13] These are the principles which I shall apply to the facts of the present court application to determine whether the matter raised by the applicant is *res judicata*. The question for consideration is whether the Deed of Settlement signed affects the applicant's present claim. A perusal of the Deed of Settlement shows that the Supreme Court issued a final and definitive judgment in the matter. Paragraph 7 of the Deed of Settlement reads as follows:

> "The terms of this Deed of Settlement shall be recorded as a Court Order by Consent under case number SC233/25"

Paragraph 10 of the Deed of Settlement reads as follows:

> "This Deed of Settlement sets out the whole agreement between the parties and replaces all prior agreements that may have been entered into between them."

[14] It is clear from the Deed of Settlement that this matter is *res judicata*. The parties agreed by consent to the terms of that settlement. It would not be proper for this court to interfere with or interpret the terms of the settlement. The terms are quite clear and do not

require expert interpretation skills. I find the point *in limine* has merit, and accordingly uphold it.

2. Is the application a disguised review of the Supreme Court's order?

[15] The Consent Order was executed on 17 April 2025 and filed under Case No. SC233/25. In substance, it constitutes an order of the Supreme Court. The hierarchy of courts is expressly delineated in the Constitution of Zimbabwe. The Supreme Court occupies a superior position to the High Court. Section 169(1) of the Constitution provides that the Supreme Court is the final court of appeal for Zimbabwe, save in matters falling within the jurisdiction of the Constitutional Court. Section 162 of the Constitution further enumerates the hierarchy of courts as follows:

"The Constitutional Court, the Supreme Court, the High Court, the Labour Court…"

[16] The Respondent submitted that the relief sought amounts to "a disguised review" of the Supreme Court order. I find merit in that submission. The High Court lacks authority to overturn or vary a decision of the Supreme Court. To attempt such would constitute a grave error of monumental proportions. It is self-evident that the High Court is subordinate to the Supreme Court, which stands as the apex appellate tribunal within the judicial hierarchy. I do not possess the jurisdiction to review any decision of the Supreme Court, and I decline to act beyond the scope of my judicial competence. Accordingly, the preliminary point is upheld.

Costs

[17] The remaining issue concerns costs. No cogent grounds exist to depart from the general principle that costs follow the event. The Respondent is, therefore, entitled to his costs.

Disposition

[18] This matter has been going on for a long time. The parties must try to find each other. Surely, there must be finality to litigation. It is clear that there is mistrust between the parties. The applicant, in its papers, submitted that it anticipated the respondent may take steps to execute against the Supreme Court order, which order, I must emphasise, is by consent. Thus,

the application was a preemptive action. If there is that apprehension, wouldn't it be prudent for the applicant to approach the respondent and make its position known?

[19] Having upheld the points *in limine*, I will not labour myself by going into the merits of this case.

In the result, I order as follows:

1. The points *in limine* are upheld.
2. The application be and is hereby dismissed with costs.

MANDAZA J: …….

Gallop and Blank, the Applicant's Legal Practitioners
Mhishi Nkomo Legal Practice, the Respondent's Legal Practitioners.